KANAN DEVAN HILLS PLANTATIONS COMPANY PRIVATE LIMITED

Electricity Distribution Operations

TRUING UP PETITION
&
AUDITED ACCOUNTS 2023-24

Kanan Devan Hills Plantations Company Private Limited

30th November 2024

The Secretary,
Kerala State Electricity Regulatory Commission,
KPFC Bhavanam,
C.V. Raman Pillai Road,
Vellayambalam,
Thiruvananthapuram 695010.
Tel No.0471 2735544

Dear Sir,

Truing up Petition for the Financial Year 2023-24

We submit herewith for the consideration of the Hon. Commission one original and five copies of the petition for truing up of the income and expenditure for the financial year 2023-24 of the licensed electricity distribution operations of the Company.

A Demand draft favouring the Hon'ble Commission for Rs.22,400/- towards filing fee and soft copies of the Truing-up petition and its annexures are attached.

Yours faithfully,

For **Kanan Devan Hills Plantations Company Private Limited**

KANAN DEVAN HILLS PLANTATIONS COMPANY PVT. LTD. KDHP House Munnar P.O. Kerala-685612

Suman Ghosh
Chief Financial Officer

cc. The Chief Engineer- Commercial & Planning, (With a copy of the above petition)
Kerala State Electricity Board Limited
Vydhuti Bhavanam,
Pattom,
Thiruvananthapuram- 695004.

Encls: DD favouring Kerala State Electricity Regulatory Commission bearing reference No.364050 dated 25th November 2024.

जारी करने वाली शाखा भारतीय स्टेट बैंक
Issuing Branch State Bank of India
कोड क्र./CODE No. 70135
Tel No.

A/C Payee

मांगड्राफ्ट
DEMAND DRAFT

Key WILJAT
Sr. No. 152401

2	5	1	1	2	0	2	4
D	D	M	M	Y	Y	Y	Y

मांगे जानेपर KERALA STATE ELECTRICITY REGULATORY COMMISSION या उनके आदेश पर
ON DEMAND PAY OR ORDER
रुपये RUPEES Twenty Two Thousand Four Hundred Only

अदा करें ₹ 22400.00

IOI 000555364050 Key WILJAT Sr. No. 152401 AMOUNT BELOW 22401(0/5) मूल्य प्राप्त / VALUE RECEIVED
Name of Applicant KANAN DEVAN HILLS PLANTATIONS

भारतीय स्टेट बैंक
STATE BANK OF INDIA
अदायकर्ता शाखा / DRAWEE BRANCH TRIVANDRUM CITY
कोड क्र./CODE No. 70028

प्राधिकृत हस्ताक्षरकर्ता AUTHORISED SIGNATORY
शाखा प्रबंधक BRANCH MANAGER

कम्प्यूटर द्वारा मुद्रित होने पर ही वैध VALID ONLY IF COMPUTER PRINTED
केवल 3 महीने के लिए वैध VALID FOR 3 MONTHS ONLY
₹ 1,50,000/- एवं अधिक के लिखत दो अधिकारियों द्वारा हस्ताक्षरित होने चाहिए INSTRUMENTS FOR ₹ 1,50,000/- & ABOVE ARE NOT VALID UNLESS SIGNED BY TWO OFFICERS

Reby James
R-712

⑈364050⑈ 000002000⑆ 000555⑈ 16

AFFIDAVIT VERIFYING THE PETITION FOR TRUING UP OF COST AND REVENUE FOR THE PERIOD FROM 1ST APRIL 2023 TO 31ST MARCH 2024

I, Suman Ghosh, aged 46 years, son of late Mr. Ekkari Ghosh, residing at Munnar Bungalow, Munnar, Kerala – 685612, do hereby solemnly affirm and state as follows:

I am the Chief Financial Officer of Kanan Devan Hills Plantations Company Private Limited (KDHP), Munnar and the petitioner in the above matter and I am duly authorized by the Company to make this affidavit on its behalf. I solemnly affirm at Munnar on this the 28th November 2024, that –

(i) contents of the above petition are true to my information, knowledge, and belief. I believe that no part of it is false, and no material has been concealed therefrom.

(ii) that the statements made in the paragraphs of the accompanying application are true to my knowledge and are derived from the official records made available to me and are based on information and advice received which I believe are true and correct.

Deponent

Chief Financial Officer
Kanan Devan Hills Plantations Company
Private Limited, Munnar, Kerala –
685612.

VERIFICATION

I, the above-named deponent, solemnly affirm at Munnar on this the 28th November 2024 that the contents of the affidavit are true to my information, knowledge and belief, that no part of it is false and that no material has been concealed therefrom.

Deponent

Chief Financial Officer
Kanan Devan Hills Plantations Company
Private Limited, Munnar, Kerala –
685612.

Solemnly affirmed and signed before me.

Solemnly affirmed and signed before me at my office at Adimali on this the 28th day of Nov. 2024 by the deponent

NOTARIAL REGISTER
Vol.No. VII Page No. 271
Sl.No. 298 Date 28.11.24

RUPEES ONE HUNDRED SPECIAL ADHESIVE

NOTARY N.S. SUKUMARAN Tal. DEVIKULAM TALUK Reg. No. 10/97/IDUKKI Expiry Date: 15.10.2027 GOVT. OF KERALA

28-11-24

N.S. SUKUMARAN
ADVOCATE & NOTARY
Reg. No. 10/97/IDKY
ADIMALY, IDUKKI DISTRICT
KERALA STATE, INDIA-685 561
Ph: 9447257801
e-mail: advsukumaran1@gmail.com

BEFORE

THE KERALA STATE ELECTRICITY REGULATORY COMMISSION

At its Office at C.V. Raman Pillai Road, Vellayambalam, Thiruvananthapuram

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In the matter of: Petition for truing up of Costs and Revenue of Kanan Devan Hills Plantations Company Private Limited for the financial year 1st April 2023 to 31st March 2024.

Petitioner: Kanan Devan Hills Plantations Company Private Limited (KDHPCL), KDHP House, Munnar 685612.

1. The Petitioner is a corporate tea plantation based out of Munnar, Kerala. The Petitioner is also a licensed distributor of electricity in Munnar since 2007 and serves over 17,000 consumers spread over 240 square kilometre area. The Petitioner has been regularly submitting petitions for approval of Aggregate Revenue Requirement (ARR), Expected Revenue from Charges (ERC), Year-End Truing Up Petitions and other submissions as per the relevant Acts, Rules and Regulations. The current application is made in respect of Truing Up of Accounts for the financial year from 1st April 2023 to 31st March 2024.

2. The audit of the accounts of the electricity operations of the Petitioner for the financial year 1st April 2023 to 31st March 2024 has been completed and a copy of the said Audited Accounts is attached as **Annexure A**.

3. A summary of the audited amounts for the current year with the approved amounts and with the Audited amounts for the previous year are as under. A detailed explanation of the reasons for variances are given in the following paragraphs.

Rs./Lakhs

Particulars	FY24 Audited	FY24 ARR-ERC Approved	FY23 Audited	Variance with		Remarks
				FY24 ARR-ERC Approved	FY23 Audited	
Revenue from sale of power	3,730.68	3,240.29	3,518.24	490.39	212.44	Para 5a
Other income	66.74	69.14	3.44	(2.40)	63.30	Para 5b
Total income	**3,797.42**	**3,309.43**	**3,521.68**	**487.99**	**275.74**	
Power purchase cost	3,376.30	3,103.55	3,161.70	272.75	214.60	Para 5c
O&M Expenses	284.96	233.34	267.84	51.62	17.12	Para 5d
Depreciation	15.28	15.07	13.11	0.21	2.17	Para 5e
Interest & Finance charges	22.85	48.71	19.76	(25.86)	3.09	Para 5f
Inspection charges	1.29	1.25	1.22	0.04	0.07	Para 5g
Duty-III	14.83	-	14.34	14.83	0.49	Para 5g
Provision for doubtful debts	2.42	-	2.51	2.42	(0.09)	Para 5g
Return on Equity	-	7.03	-	(7.03)	-	Para 5h
Aggregate Revenue Requirement	**3,717.93**	**3,408.95**	**3,480.48**	**308.98**	**237.45**	
Revenue Surplus/ (Gap) before taxation	**79.49**	**(99.52)**	**41.20**	**179.01**	**38.29**	

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4. The comparison/particulars of the actual amounts with the approved ARR-ERC amounts for the current year and previous year audited amounts in the prescribed format is attached with as **Annexure B**.

5. Clarifications on variances of Income and expenditure compared to the corresponding approved amounts are as under:

   a. **Revenue from Sale of Power**- Electricity sold during the year was 507.95 lakh units at an average price of Rs.7.35 per unit against approved 444.27 lakh units at Rs.7.31 per unit and 484.90 lakh units at Rs.7.26 per unit in the previous year.

   Compared to previous year, the revenue from sale of power during the year is higher by Rs.212.44 lakhs (Rs.45.60 lakhs higher on account of increase in average revenue by Rs.0.09 per unit and Rs.166.84 lakhs on account of higher sales by 23.05 lakh units. The increase in average revenue per unit is mainly on account of the increase in Retail Supply Tariff (RST) subsequent to tariff revision vide OP 18/2023 w.e.f. 01st November 2023. The increase in units sold is mainly on account of increase in consumption by HT IA consumers, mainly seasonal tea factories, by 18 lakh units and increase in consumption by 4 lakh units by LT VII Commercial consumers on account of increased commercial activity in Munnar region.

   As against the approved ARR-ERC, the sale during the year is higher by Rs. 490.39 lakhs (Rs.30.49 lakhs higher on account of increase in average revenue by Rs.0.06 per unit and Rs.459 lakhs on account of higher sales by 63.68 lakh units). The increase in per unit revenue is attributable to the difference in tariff based on which the ARR was drawn with the actual tariff in effect. For ARR-ERC Petition a moderate increase of 1% was estimated to arrive at projected revenue in 2023-24. However, on account of higher HT IA consumption mainly at seasonal tea factories and faster than anticipated recovery in commercial segments from Covid period, the actual units sold is higher than ARR-ERC Petition and Approved units by 63.68 lakh units. A statement of summary of income from sale of power bifurcated between sale to outsiders and own consumption is attached in **Annexure C**.

   The Other tariff income during the year was Rs.9.12 lakhs against Rs.8.35 lakhs in ARR-ERC Petition and Rs.9.31 lakhs in the previous year. Though presented in Revenue from sale of power in audited accounts per the requirements of the format in Regulation, for consistency with the approach adopted by the Commission, the same is regrouped to Other income. Final claim is as follows:

Rs/Lakhs

Particulars	**FY23 Audited**	**FY23 Trued Up**	**FY24 ARR-ERC Approved**	**FY24 Truing up Claim**
Revenue from sale of power	3,508.93	3,508.93	3,240.29	3,721.56
Non-tariff income	9.31	-	-	9.12
Revenue from sale of power (Gross)	**3,518.24**	**3,508.93**	**3,240.29**	**3,730.68**
Less: Non-tariff income re-grouped to Other Income	-	-	-	(9.12)
Revenue from sale of power	**3,518.24**	**3,508.93**	**3,240.29**	**3,721.56**

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b. Other income- Other income has been arrived at as under:

Rs/Lakhs

Particulars	FY23 Audited	FY23 Trued Up	FY24 ARR-ERC Approved	FY24 Truing Up Claim
Interest on deposit with KSEBL	14.84	10.51	14.84	17.36
Provision for interest on deposit with KSEBL discussed below	(14.84)	-	-	-
Miscellaneous receipts	3.44	3.44	2.00	49.38
Interest on accumulated surplus	-	52.74	43.95	-
Revenue from other operations	-	9.31	8.35	-
Total as per Approved/Audited Accounts	**3.44**	**76.00**	**69.14**	**66.74**
Regulatory adjustments:				
Add: Interest on accumulated surplus	-		-	78.27
Add: Non-tariff income regrouped from Revenue from sale of power				9.12
Less: Reversal of provision for interest on security deposit from KSEBL being already claimed in regulatory accounts				(44.50)
Actuals amount after Regulatory Adjustments	**3.44**	**76.00**	**69.14**	**109.63**

Miscellaneous receipts of Rs.49.38 lakhs include Rs.4.87 lakhs being collection charges for Duty IV collected for outside consumers and service charges recovered from consumers for various services. Balance Rs.44.50 lakhs relates to reversal of provisions for interest on security deposits pertaining to financial years 2020-21, 2021-22, and 2022-23. It is to be noted that the Hon'ble Commission had consistently taken the stand that interest is payable by KSEB Limited and that the Petitioner may take up the matter KSEB Limited for payment. Accordingly, the Hon'ble Commission has disallowed expenditure claim for provision made by the Petitioner on this regard during Truing up for respective financial years. Accordingly, the Petitioner has not claimed the expenditure for provision on interest on security deposit with KSEBL during the current year and for reflecting the same position in its books of accounts, the Petitioner has reversed the accumulated provision to date in its audited books of accounts. However, considering the same has been already included in the surplus/deficit for the respective years, the Petitioner has adjusted the income on reversal of provision in its claim for Other income by deducting the same from audited amounts.

Regulation 82 of Tariff Regulation, 2018 which listed down items of Other income did not include the item of income, interest on Security Deposits with KSEBL, which accrues to all the Licensees other than KSEBL while items of income which are less common to all the Licensees are included. The item did not appear in Form D 2.4 in Tariff Regulation, 2018, relating to Other Income. It was the Petitioner's humble view that, if the interest income was to be included as Other Income then the corresponding amount of the Deposit with KSEB should also be included as part of notional Working Capital in Regulation 32(e) and also the corresponding Form 3.7 of the Tariff Regulation, 2018. But this was not included in either. This only led to the firm conclusion and rightly so that Security Deposit placed with KSEB should not be included as Working Capital and hence no interest cost is allowed on the amount and, as a corollary to the same, interest income on Security Deposits placed with KSEB need not be included as Other Income.

On the interest income on accumulated regulatory surplus, the Petitioner reiterates its earlier views that regulatory surplus does not generate any real cash surplus corresponding amount in the hands of the Licensee for placement of funds. Regulatory surpluses in the Petitioner's case have arisen on account of regulatory norms disallowing

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part of expenditure which is otherwise genuinely required for the operations and actually incurred by us. The amounts disallowed do not create any real surplus of funds in our hands which is available for placement as Bank Deposits or towards set off against any loan. To state a few instances, Duty III is a statutory payment and is actually incurred by a Licensee but this amount is not allowed to be charged in the regulatory accounts. The other example, which is true in our case, is interest due on Security Deposits placed with KSEBL. While this amount is accrued in our books year after year, KSEBL has never paid this amount to us. Thus these amounts have enhanced our revenue surplus every year without any corresponding increase in availability of funds for placement as interest bearing deposits. Further, the same was not included in either Regulation 82 or D 2.4 relating to Other Income of the Tariff Regulation, 2018. The matter is the subject of petitions filed before the Hon. APTEL against earlier orders of the Hon. Commission and these are yet to be heard by the Tribunal.

Regulation 83 of the Tariff Regulation, 2021 now specifically includes interest income earned from Security deposits as well as normative interest income calculated based on accumulated regulatory surplus under the definition of Other income. This reiterates and confirms the Petitioners earlier contention.

Hence, it is the humble submission of the Petitioner that, the interest on security deposit and notional interest on accumulated surplus be accrued only from 2022-23, being the period from which the Regulation specifically includes such income under the purview of Other Income.

The Hon. Commission has been approving notional interest on accumulated surplus on the SBI fixed term interest for a tenure of one year. Retail deposit Interest rate of State Bank of India for a tenure of one year is 6.80% on as on 1st April 2023 **(Annexure D)**. Accordingly, interest on accumulated surplus has been computed at the interest of 6.80% p.a. as shown below.

Computation of interest on Accumulated surplus:

Particulars	**Rs/Lakhs**
Regulatory Surplus as at 31st March 2023 (As per Truing Up Order OP 78/2023)	1,150.99
Interest at 6.80% (As per retail deposit rate with SBI for tenure of 1 year during FY24)	78.27

c. **Power Purchase Cost**- The particulars of power purchase cost are as under:

Particulars	**FY23 Audited**	**FY23 Trued Up**	**FY24 ARR-ERC Approved**	**FY24 Audited**
Gross sale units – lakh units	490.80	490.80	444.27	511.95
Less: Captive power fed into grid- lakh units	5.91	5.91	-	4.00
Net sale units – lakh units	484.89	484.89	444.27	507.95
Add: Distribution Loss- lakh units	56.29	56.73	55.81	58.99
Purchased Units- lakh units	541.18	541.63	500.08	566.94
Add: Feedback- lakh units	49.30	49.30	96.77	54.59
Gross Units- lakh units	590.48	590.93	596.85	621.53
Distribution Loss-%	9.53%	9.60%	9.35%	9.49%
Normal Demand Charge-Rs/Lakhs	397.86	397.86		389.12
Excess Demand Charge-Rs/Lakhs	6.78	6.78		6.57
Total Demand Charges-Rs/Lakhs	404.64	404.64	453.13	395.69
Energy Charge- Rs/Lakhs	2,757.06	2,758.73	2,650.42	2,9[illegible]
Total Charges-Rs/Lakhs	3,161.70	3,163.37	3,103.55	3,[illegible]
Rate per unit-Rs/kWh purchased	5.84	5.84	6.21	[illegible]

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During the year, the power consumption in the licensed distribution area is higher compared to previous year and estimated consumption in ARR-ERC Petition mainly on account of increase in consumption in HT IA consumers and LT Commercial Consumers. The increase in the per unit rate of power purchase is attributable to tariff revision. W.e.f. 01st November 2023, the BST and Demand charges of the Petitioner were increased from Rs.5.30 per unit to Rs.5.40 per unit and Rs.380 per kVA to Rs.400 per kVA respectively vide Tariff Order of the Hon'ble Commission OP 18/2023. However, this is offset to an extent by the improvement in the distribution loss from 9.53% in the previous year to 9.49% in the current year. But the loss is slightly higher than the ARR- ERC approved level of 9.35%. Regulatory adjustment for excess distribution loss is as follows:

Particulars			**Rs/Lakhs**
Power Purchase Cost as above			3,376.30
Total units sold- in lakhs	A	507.95	
Total units purchased – in lakhs	B	566.94	
Feedback units- in lakhs	C	54.59	
Gross units- in lakhs	D= B+C	621.53	
Line loss units- in lakhs	E= A-B	58.99	
Line loss percent	F= E/D*100	9.49%	
Approved line loss percent	G	9.35%	
Approved line loss units- in lakhs	H=(A+C)*G	58.02	
Excess line loss- in lakhs units	I=E-H	0.97	
Average cost per unit – Rs	J	5.96	
Disallowed in power purchase cost	K=I*J	5.78	
Adjusted power purchase cost (Truing Up Claim)			**3,370.52**

d. **Operating and Maintenance costs**- For the year a consolidated amount of Rs.233.34 lakhs was approved as per Regulation 80(1) of the Tariff Regulations, 2021. The actual amount being sought in the application is Rs.267.84 lakhs as under:

Rs/Lakhs

Particulars	**FY23 Audited**	**FY23 Trued Up**	**FY24 Regulation Approved**	**FY24 Audited**
Repairs and Maintenance	57.54	43.06	43.88	49.74
Employee cost	179.80	171.67	174.96	216.32
Administration and general expenses	30.50	19.37	14.50	18.90
Total	**267.84**	**234.10**	**233.34**	**284.96**

Approved amounts of Operating and Maintenance costs as per the Tariff Regulation, 2021 were arrived at by taking an escalation of 4.454% for the years of the control period considering 2020-21 as the base year. The Regulation also provides for adopting escalation rates based on actual inflation indices be adopted for approving the O&M Expenses. The same approach was followed during the truing up of accounts for the year ended 31st March 2023.

The escalation whilst covers the increase in expense on account of inflation, it totally disregards the level of activities involved in repairs, maintenance, administration and general expenses which can vary year on year. Further, the approved amounts for FY21 which is used as the base for the approved amounts in the control period has been arrived at after disallowing many expenses which were genuinely incurred and otherwise required for the operation of the electricity distribution business of the licensee. The Petitioner humbly prays before the Hon'ble Commission to consider a more prudent method for approving O&M Expenses of the Petitioner.

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Repair and Maintenance: The breakup of the expenditure is as follows:

Rs/Lakhs

Particulars	FY23 Audited	FY24 Audited	FY24 Truing Up Claim
Plant & Machinery	3.49	0.73	0.73
Includes expenditure incurred by the Petitioner on the repair, maintenance and upkeep of fire extinguishers, electrical machinery and lighting installations. There is a decrease in expenditure by Rs.2.76 lakhs during the year. This is on account of decrease in maintenance to electrical equipment.			
Buildings	0.24	0.29	0.29
Includes expenditure incurred by the Petitioner towards repair and maintenance of civil structures like buildings including switching station, electrical department office and ancillary buildings. No material work was required to be undertaken during the current year or the previous year.			
Lines & Cable Networks	36.85	36.00	36.00
Includes expenditure incurred by the Petitioner towards upkeep of network including transformer maintenance, service charges, transformer oil and other upkeep works like undergrowth cutting charges etc. Expenses are in line with previous year actual expenses incurred. See detailed variance in **Annexure E.**			
Vehicles	3.89	4.16	4.16
Relates to expenditure incurred for the upkeep of the vehicles used in the electrical department. The variance with the previous year expenditure is not material.			
LT Lines, upkeeps, etc.	13.07	8.56	8.56
Includes expenditure incurred by the Petitioner towards the upkeep of the LT line including cost of replacement of LT posts, LT lines, upkeep works like overhead line standardization, etc. The variance with the previous year expenditure is mainly on account of reduction in post fabrication works. See detailed variance in **Annexure E.**			
Total	**57.54**	**49.74**	**49.74**

Employee costs: The employee costs relating to various categories of employees were as under:

Particulars	Actual 2022-23		Actual 2023-24	
	No	Rs/Lakhs	No	Rs/Lakhs
Technical Officers	3	17.13	3	21.54
Switching Station Operations	3	17.74	3	20.58
Technical Staff	40	81.69	40	102.84
Other Workers	11	19.55	11	29.07
Non-Technical Staff	3	11.23	3	13.73
Share of Management Staff Expenses		31.09		27.27
Other Allowances, Medical & Welfare expense		1.37		1.29
Total	**60**	**179.80**	**60**	**216.32**

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Employee costs have increased by Rs.36.52 lakhs compared to the previous year and by Rs.41.36 lakhs compared to the amount approved by Hon'ble Commission Rs.174.96 lakhs. A reconciliation of the employee expenses with the previous year is as under:

Particulars	Amount in Rs. Lakhs
Employee expenses as per audited accounts for FY23	**179.80**
Impact of wage revision including arrears.	27.21
Increase attributable to yearly increment	6.23
Increase in extra overtime	2.97
Increase in Other components	3.93
Decrease in management staff proportionate expenses	(3.82)
Employee expenses as per audited accounts for FY23	**216.32**

As seen above, the increase is mainly on account of wage revision. All the employees other than members of management staff are members of employees' unions and their wage/salary structures are fixed through industry wide triennial wage settlements. The worker wages and staff salaries were revised vide settlement agreements dt. 6th September 2023 and 27th July 2023 respectively and the revised wages and salaries were made effective from 1st January 2023. The worker basic wages were revised from Rs.308.21 to Rs.349.21 per day (13.30% approx.) and the average increase across all categories of staff was approx. 17.5% p.a. Copy of relevant circulars has been attached in **Annexure F1.** As consistently followed, in the current year also, out of the 60 employees, for 25 of the 30 employees who are located at various estates spread over the Licensed Area, only 50% of their costs are charged to the distribution operations. Employee category-wise particulars of employee costs is attached in **Annexure F2.**

As can be seen from **Annexure F2**, there are two types of overtime included in the Employee Costs: (1) Fixed Overtime- Fixed Overtime are paid to Staff and Non-Staff category of workers as per Industry-wise Staff settlement purely on their attending to duty and without having to work beyond the office hours at 1.75/1.50 hours per man-day. This amount of Fixed Overtime for the year ended 31st March 2024 was Rs.32.25 Lakhs. (2) Variable Overtime- Variable Overtime is paid for working over the normal working hours and on weekends, holidays. This is mainly required to restore line faults happening after working hours. There are instances where the repair work could not be completed during the normal working hours and therefore had to spill-over to overtime hours. The variable overtime for the year ended 31st March 2024 is higher than previous year expense by Rs.2.97 lakhs. The Petitioner would like to appraise the Hon'ble Commission that such expenses are directly related to the frequency and severity of faults mainly during the torrential monsoon season. However, we continue to monitor and maintain close control on overtime payouts as suggested by the Hon'ble Commission.

Management staff salaries have been allocated to the distribution operations consistently in line with previous years and are as under:

Particulars	Percentage of CTC Allocated to distribution operations
Chief Financial Officer	10
Manager- Finance	10
Assistant Manager - MIS & Accounts	25
Deputy General Manager- Workshop	25
Consultant- Workshop	75

Our humble submission to the Hon. Commission is that the annual increase in the employee costs allowed by the regulations is grossly inadequate to cover the actual increase in costs and the actual employee costs incurred by us for the required number of employees should be allowed. This was also the principle arising in the petition filed by KSEBL before the Hon. APTEL in Appeal no 1 and 19 of 2013 that for the requisite number

of employees for the operations on the base costs at-least the annual increase in costs should be allowed. No other corporate overhead expenses are charged to electricity operations.

Administration and general expenses: The breakup of the expenditure are as follows:

Rs/Lakhs

Particulars	**FY23 Audited**	**FY24 Audited**	**FY24 Truing Up Claim**
Rent, rates and taxes, telephone, postage	1.20	0.32	0.32
Expenditure includes fees paid to the Hon'ble Commission for various petitions/filings of the Petitioner.			
Insurance	1.05	0.44	0.44
Proportionate expenditure of insurance costs towards securing the assets in the electricity business.			
Legal charges	10.38	2.01	2.01
Mainly includes expenditure incurred by the Petitioner towards legal/professional fees for various litigations related to electricity business at various forums.			
Audit fees	6.64	3.90	3.90
Current year expenses include Rs.1.50 Lakhs towards Statutory audit fee and Rs.2.40 lakhs being audit fee for energy audit. Previous year expenditure also includes Rs.5.14 lakhs towards electricity audit and Rs.1.50 lakhs towards statutory audit fee.			
Travelling, conveyance expenses	1.80	1.19	1.19
Includes expense incurred for travel and accommodation related to the electricity business, vehicle hire charges for breakdown repairs etc. Variance is not material.			
Security arrangements	1.95	2.79	2.79
Includes expenditure incurred towards security personnel at various establishments related to the electricity business. Variance is on account of the increase in wage rates.			
Printing and stationery	1.30	0.92	0.92
Includes expenditure incurred towards office and other stationery items. Decrease is on account of reduced purchase of thermal rolls for spot billing.			
Electricity charges	0.35	0.32	0.32
Includes electricity charges for establishments in electricity distribution business.			
Licensee fee	0.90	1.06	1.06
Fee calculated at 0.03% of the revenue for the year. Variance commensurate increase in revenue.			
Miscellaneous expenses	4.93	5.95	5.95
Mainly includes bata paid to staff/workers per the terms of their employment as reimbursement of cost of conveyance/food incurred by them as part of execution of their duties.			
Total	**30.50**	**18.90**	**18.90**

e. **Depreciation**- Depreciation has been computed as per requirements of Regulation 27 at the rates specified in Annexure 1 to the Tariff Regulation, 2021. For assets over 13 years

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as suggested by the Commission, depreciation has been allowed at lower rates. Accordingly, depreciation as per audited accounts is adjusted in the Petition for truing up.

Rs. in lakh

Asset Group	GFA as at 01.04.23	Asset Addition	Rate of depreciation	Depreciation
Asset over 13 years				
Transformers	190.51	-	0.97%	1.85
Distribution lines	40.16	-	0.97%	0.39
Meters	23.57	-	0.97%	0.23
IT Equipment	0.89		0.97%	0.01
Others	12.91	-	0.35%	0.05
Sub-total	**268.04**	**-**		**2.53**
Asset below 13 years				
Transformers	101.82	3.18	5.28%	5.54
Distribution lines	-	-	5.28%	-
Meters	63.63	6.34	9.00%	6.29
IT Equipment	4.65	-	15.00%	0.70
Others	3.13	2.28	6.33%	0.34
Sub-total	**173.23**	**11.80**		**12.87**
Grand Total	**441.27**	**11.80**		**15.40**
As per audited accounts				15.28
Excess depreciation				**0.12**

The Depreciation has been computed at the rates specified in the Regulation. The variance as compared to the books is on account of rounding of adjustments. Considering this and the materiality of the amount involved, the Hon'ble Commission may allow the charge of Rs.15.28 lakhs as given in the audited accounts. Details of fixed assets are given in **Annexure G**.

f. **Interest and Finance charges**- Details of actual/claimed interest and finance charges and as approved by the Hon. Commission in the ARR-ERC Order are as under:

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Interest on Normative Loan

Rs/Lakhs

Particulars	FY24 ARR-ERC - Approved	FY24 Truing up Claim
Net Normative Loan- 1st April 2023 (*Per truing up Order for FY23)	139.14	*74.95
Add: Net increase of assets during the year ended 31st March 2024	62.00	11.80
Less: Depreciation during the year ended 31st March 2024	(15.65)	(15.24)
Net Normative Loan- 31st March 2024	185.49	71.51
Average Normative Loan during the year	162.32	73.23
Average Base Rate of SBI during the year	7.30%	**9.15%
Interest on Normative Loan for the year	11.85	6.70

**** SBI EBLR as at 1st April 2023: 9.15%**

Interest on normative loan is calculated as per Regulation 29 of Tariff Regulation, 2021 on the average normative loan during the year at the base rate (EBLR) declared by State Bank of India as applicable on the first day of April of the financial year for a tenure of one year. (https://sbi.co.in/web/interest-rates/external-benchmark-based-lending-rate)

As per Regulation 72 of the Kerala Electricity Supply Code, 2014 ("Supply Code") licensee shall pay to the consumer interest on security deposit at the bank rate prevailing on the first April of that year and it shall be paid annually with effect from date of deposit. The bank rate as on 1st April 2023 was 6.75% p.a. **(Annexure H)**. Accordingly, interest is provided on Security Deposit from Consumers at the rate of 6.75% p.a. amounting to Rs.17.38 lakhs against approved amount of Rs.10.83 lakhs (at 4.25% p.a. and deposit of Rs.263.73 lakhs) and previous year trued up amount of Rs.8.34 lakhs (at 4.25% p.a. and deposit of Rs.196.29 lakhs). The increase in interest on security deposit from consumers by Rs.6.55 lakhs compared to as approved by Commission is on account of increase in rate from 4.25% to 6.75% and deposits from Rs.254.84 lakhs as approved by the Commission to Rs.269.66 lakhs in the current year.

The Petitioner would like to draw attention to the fact that whilst the requirement of the Supply Code is for the licensee to pay consumer interest on security deposit furnished by him on pro-rata, basis the date of deposit, the Hon'ble Commission has only allowed the interest on security deposit from consumers on the opening balance of such deposit. The Petitioner has always complied with the requirements of the Supply Code and paid interest on pro-rata basis but only been allowed to claim interest on opening balance of security deposit. Accordingly, the interest for new consumers as well as for security deposit enhancements during the year clearly stands disallowed over the years. The Petitioner requests the Hon'ble Commission to reconsider and clarify its stance on the matter for clearing the ambiguity with the Supply Code.

Interest and finance charges also include bank charges amounting to Rs.5.47 lakhs out of which Rs.1.71 lakhs relates to the Letter of Credit issued in favour of KSEBL to secure monthly power purchase bills and the balance Rs.3.76 lakhs towards Bank Guarantee provided to KSEBL as per the directions of the Hon. Supreme Court of India in civil appeal 2144/2011.

Interest on Working Capital is computed as per Regulation 32 of Tariff Regulation,2021 at a rate equal to 2% higher than the base rate (EBLR) as on the first day of April of the financial year.

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Accordingly, the computation of the interest on working capital is as under:

Rs/Lakhs

Particulars	FY24 ARR-ERC Approved	FY24 Truing up Claim
O & M Expenses- One month	19.45	23.75
Maintenance spares	-	-
Receivables – 2 months	540.05	621.78
Less: Security Deposit from Customers	270.02	269.66
Total Working Capital	289.48	375.87
Interest rate %	8.65%	11.15%*
Interest on Working Capital	**25.04**	**41.91**

*** SBI's 1-year EBLR 9.15% on 1st April 2023 plus 2% thereof total 11.15%**

Therefore, total interest and Finance costs for the year would be:

Rs/Lakhs

Particulars	FY24 ARR-ERC Approved	FY24 Truing up Claim
Interest on Security Deposits from Customers	10.83	17.38
Bank Charges- On the Bank Guarantee to KSEB as per the direction of the Hon. Supreme Court of India	-	3.76
Other Bank Charges including on the Letter of Credit to secure cost of mostly power purchase from KSEBL	2.61	1.71
Total as per audited accounts	**13.44**	**22.85**
Interest on Normative Loan	10.23	6.70
Interest on Working capital	25.04	41.91
Total Regulatory adjustments	**35.27**	**48.61**
Total Interest and Finance charges	**48.71**	**71.46**

g. **Other debits-** Other debits include Duty-III charges, periodic inspection charges and provision for doubtful debts. An amount of Rs. 14.81 lakhs were sought in the ARR-ERC petition being Rs. 13.56 lakhs for Duty III charges and Rs. 1.25 lakh being periodical inspection charge but Duty III was not allowed by the Hon'ble Commission citing that same cannot be passed on to the consumer. Actual expense incurred during the year consists of Duty-III charges Rs. 14.83 lakhs levied at Rs.0.06 per kwh sold outside, Rs. 1.29 lakhs being periodical inspection charges and Provision for doubtful debts Rs. 2.42 lakhs.

h. **Return on net fixed assets-** The details of return on net fixed assets claimed and as approved in ARR-ERC are as under:

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Rs.in Lakhs

Particulars	FY24 ARR-ERC Approved	FY24 Truing up Claim
Gross fixed assets as at 1st April 2023	497.63	441.30
Less: Accumulated depreciation	224.52	254.65
Less: Consumer contribution	14.96	7.89
Less: GFA for which interest is allowed	130.39	74.95
Balance value of Net fixed assets at the beginning of the year	127.76	103.81
Rate of Return	5.50%	5.50%
Eligible Return	**7.03**	**5.71**

6. Taking into account the regulatory adjustments to the audited accounts as discussed above the adjusted revenue gap would be as under:

Rs/Lakhs

Particulars	FY24 ARR-ERC Approved	FY24 Audited Accounts	FY24 Truing up Claim
Revenue from sale of power (Para 5a above)	3,240.29	3,730.68	3,721.56
Other income (Para 5b above)	69.14	66.74	109.63
Revenue from charges	**3,309.43**	**3,797.42**	**3,831.19**
Power purchase cost (Para 5c above)	3,103.55	3,376.30	3,370.52
O&M Expenses (Para 5d above)	233.34	284.96	284.96
Depreciation	15.07	15.28	15.24
Interest & Finance charges (Para 5e above)	48.71	22.85	71.46
Inspection charges	1.25	1.29	1.29
Duty-III	-	14.83	14.83
Provision for doubtful debts	-	2.42	2.42
Return on Equity	7.03	-	5.71
Aggregate Revenue Requirement	**3,408.95**	**3,717.93**	**3,766.43**
Revenue Surplus/ (Gap) before taxation	**(99.52)**	**79.49**	**64.76**

7. The Income Tax Department has always allowed the Electricity Operations of the Petitioner as an integrated part of the tea business based on the Orders of the Appellate Tribunal and hence all incomes/losses under the operations are considered as tea income or loss under Rule 8 of the Income Tax Act, 1962. Considering the tea operations are a loss in AY 24-25, there is no income tax liability to be apportioned for the electricity operations.

8. Interest income on Security Deposit with Kerala State Electricity Board Limited (KSEBL) is regularly accrued by the Petitioner. KSEBL has not yet paid the amount. The Hon'ble Commission had directed the Petitioner to take up the matter before KSEBL for payment. KSEBL has denied payment citing unresolved dispute on retrospective tariff revision pending with Hon'ble Supreme Court of India. The accrued interest as at 31st March 2024 and yet to be received is Rs.179.82 lakhs. The Petitioner humbly prays before the Hon'ble Commission to pass necessary orders on the matter.

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9. The amount capitalized during the year was Rs.11.80 lakhs consisting of the following:

Particulars	Rs/lakhs
Energy Meters	6.34
Distribution Transformer – MS	3.18
Others	2.28
Total	**11.80**

10. The petition is filed without prejudice to the Civil Appeals 2144/2011 and 5122/2012 pending before the Hon. Supreme Court of India and before the Appellate Tribunal for Electricity in respect of Truing-up Orders of the Hon. Commission for the financial years ended 31st March 2016, 31st March 2017, 31st March 2018, 31st March 2019, 31st March 2020, 31st March 2021, 31st March 2022 and 31st March 2023.

11. Prayer:

The Licensee respectfully prays before the Hon'ble Commission to pass orders on the following:

a. Approving the Truing-up petition of Income and Expenses as detailed in the Audited Annual Accounts for the year ended 31st March 2024 as submitted to the Hon'ble Commission along with the regulatory adjustments and discussed in paragraph 8 above.

b. Payment of accumulated interest on deposit with KSEBL along with interest as discussed in paragraph 8 above.

c. Approving the capital expenditure of Rs.11.80 lakhs discussed in paragraph 9 above.

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Suman Ghosh
Chief Financial Officer

Dated: November 28, 2024.